



CHAPTER vi

An Act to authorise and render binding arrangements for varying the rights and interests of the holders of bonds securing the loan known as "the Potash Syndicate of Germany 25-year Sinking Fund Gold Loan" to empower the Royal Exchange Assurance being the Trustees under the trust deeds constituting and securing the said loan to negotiate and become party to such arrangements and to take proceedings with respect thereto and for other purposes.

[23rd May 1950.]

WHEREAS—

(1) By a deed (hereinafter called "the principal trust deed") dated the sixth day of December one thousand nine hundred and twenty-five and made between the Potash Syndicate of Germany (therein and hereinafter together with its successors and assigns called "the company") being a corporation duly organised and existing under the laws of the German Reich as then in force of the first part and Royal Exchange Assurance being a corporation incorporated by royal charter and operating under the laws of England and having its principal office and place of business at the Royal Exchange London (which corporation together with every other corporation firm or person for the time being a Trustee or Trustees of the said deed whether jointly with the said Royal Exchange Assurance or not was therein and is hereinafter called "the Trustees") of the second part provision was made for the issue in series of bonds to an aggregate principal amount not exceeding £15,000,000 sterling which bonds were together to be designated as "the Potash Syndicate of Germany 25-year Sinking Fund Gold Loan":

(2) The principal trust deed made provision as to the terms and conditions to apply to the first series of bonds. That series was to be issued forthwith and to be called the "7 per cent. series A" and might be issued for an aggregate principal amount of £8,000,000 sterling in bonds of various amounts but all ranking for security *pari passu* with one another. The said deed reserved the right for the company to issue further bonds in series up to an aggregate principal amount of £7,000,000 all such bonds ranking for security *pari passu* with one another and with the bonds of 7 per cent. series A. The said deed also contained various covenants and provisions applying to the whole of the bonds constituting the said loan under whatever series issued:

(3) By a supplementary trust deed dated the thirtieth day of July one thousand nine hundred and twenty-six and made between the same parties as the principal trust deed provision was made for the issue of a second series of bonds of the said loan. The said second series was to be called the "7 per cent. series B" and might be issued for an aggregate principal amount of £4,000,000 in bonds of various amounts corresponding to the amounts permissible for the bonds of 7 per cent. series A:

(4) By a further supplementary trust deed dated the thirtieth day of July one thousand nine hundred and twenty-nine and made between the same parties as the principal trust deed provision was made for the issue of a third series of bonds of the said loan. The said third series was to be called the "6½ per cent. series C" and might be issued for an aggregate principal amount of £3,000,000 in bonds of various amounts corresponding to the amounts permissible for the bonds of 7 per cent. series A and 7 per cent. series B:

(5) Bonds of each of the said series all payable to bearer have been issued for amounts totalling to £15,000,000 the aggregate of the principal amounts aforesaid. The unredeemed bonds of series A and series B carry the right to interest at 7 per cent. per annum payable half-yearly. Those of series C carry the right to interest at 6½ per cent. per annum payable half-yearly. In regard to the bonds of series A and series B the provisions of the said trust deeds relating thereto require that all such bonds not retired earlier through purchase or drawings by means of a sinking fund (for which provision is made by the said trust deeds) shall be paid off by the company on the first day of November one thousand nine hundred and fifty at 102½ per cent. and accrued interest. In regard to the bonds of series C the provisions of the said trust deed relating thereto require that all such bonds not retired by the company earlier by means of a sinking fund (for which provision is also made by that trust deed) shall be paid off by the company on the first day of July one thousand nine hundred and

fifty-three at $102\frac{1}{2}$ per cent. and accrued interest. In regard to the bonds of each series it is provided in the trust deed relating thereto and in each bond that payment of principal premium and interest will be made at the option of the holder either of the sum payable in sterling or of an equivalent sum in dollars which is to be calculated at the fixed rate of exchange of 4.86 dollars to the pound:

(6) The total nominal amount of bonds of the said three series now outstanding is—

series A £3,142,580 ;

series B £1,557,070 ;

series C £1,812,520 (excluding an amount of £334,030 which have been redeemed but not cancelled):

(7) The company was formed in 1919 by all the German firms and companies producing potash in Germany to co-ordinate the production and sales of potash and in 1925 raised the said loan and constituted the security therefor:

(8) The principal trust deed and each of the said supplementary trust deeds contains a schedule in which are set forth the names of the members of the company participating in the proceeds of the issue of the series of bonds to which such trust deed relates and the proportion of the aggregate principal amount of such series in respect of which each of such members so participates:

(9) The holders of the whole of the outstanding bonds of the said three series are entitled *pari passu* to the benefit of the following securities for the payment of the interest upon and for the redemption of such bonds:—

(a) the direct obligation of the company ;

(b) guarantees given to the Trustees under indentures of guarantee by the members of the company participating in series A series B and series C proportionally to their respective shares of the proceeds of the issue of the bonds of those series ;

(c) mortgages in favour of the Trustees given by the members of the company participating in the said three series on their respective properties concerned with the potash industry for the purpose of securing their obligations under their said guarantees ;

(d) a first charge on the proceeds of sale of all potash exported to countries outside Germany:

(10) It was provided by the principal and supplementary trust deeds and by the bonds that the principal moneys under the bonds should become payable in certain events including the failure of the company to pay or procure to be paid in due time the half-yearly sums required for the service of the bonds:

(11) The principal trust deed provided that it should be construed and take effect according to the laws of England:

(12) Provision was made in article twelfth of the principal trust deed for the calling of meetings of the bondholders and for the sanctioning by resolution of such a meeting adopted by the affirmative vote of the holders of 80 per cent. or more in principal amount of the bonds outstanding of certain transactions including the release of any of the mortgaged property the waiving of defaults and the modifying and altering of the principal trust deed and any supplementary trust deeds and the indentures of guarantee:

(13) It is apprehended that the outbreak of war on the third day of September one thousand nine hundred and thirty-nine had the effect of abrogating the provisions of the said article twelfth of the principal trust deed for the calling of meetings and the passing of resolutions binding upon the bondholders:

(14) As further results of the war the interest on the bonds is in arrear the company is in course of dissolution and some of the mortgaged properties in the eastern zone of Germany have been nationalised and the mortgages thereon cancelled by order of the occupying power:

(15) The members of the company holding potash properties in the western zone of Germany or a large majority of them recognise their obligations under the principal trust deed and are willing to co-operate in some scheme for recommencing the service of the bonds provided that their obligations in respect of the loan are modified in such manner as may seem just:

(16) As matters now stand no scheme of arrangement can be submitted to the bondholders which would bind a dissentient minority in view of the provisions of the said article twelfth of the principal trust deed having ceased to have effect and no scheme could be effective unless it could bind non-assenting bondholders in view of the fact that the Trustees hold the securities for the bonds on the terms of the principal and supplementary trust deeds:

(17) In the conditions of the present day it would be impossible to secure the representation at a meeting of 80 per cent. of the bonds outstanding as required by the said article twelfth and it is desired to substitute provisions such as are now commonly adopted in English trust deeds:

(18) It is therefore expedient that provision should be made as in this Act contained for the calling and holding of meetings of the bondholders and the passing of resolutions which will be binding on all the bondholders for modifying their rights and interests in relation to the bonds and for approving and giving effect to such arrangements and schemes as are in this Act referred to:

(19) The purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say):—

1. This Act may be cited as the German Potash Syndicate Short title. Loan Act 1950.

2. In this Act unless the subject or context otherwise Interpretation. requires—

“The bonds” means bonds for the time being outstanding of 7 per cent. series A 7 per cent. series B and $6\frac{1}{2}$ per cent. series C of the loan;

“The bondholders” means the holders for the time being of any of the bonds;

“The company” means the Potash Syndicate of Germany (“Deutsches Kalisyndikat” Gesellschaft mit beschränkter Haftung);

“Extraordinary resolution” means an extraordinary resolution duly passed in manner prescribed in that behalf under this Act at a special meeting convened for the purpose of passing such resolution and passed by a majority consisting of not less than three-fourths of the persons voting thereon upon a show of hands or if a poll is demanded then by a majority consisting of not less than three-fourths of the votes given on the poll;

“The loan” means the Potash Syndicate of Germany 25-year Sinking Fund Gold Loan;

“Members” means members of the company who have participated in the proceeds of the issue of any series of the bonds or given guarantees or executed mortgages in pursuance of the provisions of the principal trust deed or any trust deed supplemental thereto;

“The principal trust deed” means the indenture dated the sixth day of December one thousand nine hundred and twenty-five and made between the company of the first part and Royal Exchange Assurance of the second part whereby provision was made for the creation issue and redemption of and the payment of interest on the loan and as to the security for and other matters affecting the loan;

“Special meeting” means a special meeting of the bondholders duly convened and held in accordance with the provisions of this Act;

“The Trustees” means Royal Exchange Assurance and every other corporation firm or person for the time being a Trustee or Trustees of the principal trust deed whether jointly with the Royal Exchange Assurance or not.

Special
meetings of
bondholders.

3.—(1) A special meeting of the bondholders may at any time be convened by the Trustees for the purpose of passing an extraordinary resolution.

(2) The provisions of the schedule to this Act shall have effect with respect to the convening and holding of any such special meeting and the conduct and proceedings thereof and the passing of resolutions thereat.

Powers of
special
meeting.

4.—(1) A special meeting may by an extraordinary resolution approve and sanction any arrangement or scheme or authorise the making of any arrangement or scheme for all or any of the following purposes:—

- (a) the variation or abrogation or compromise of any of the rights and interests of the bondholders the company the members and the Trustees or any of those parties under or with regard to the bonds or any of them or the security therefor or the principal trust deed or any trust deed supplemental thereto or any guarantee or mortgage given by the members or any of them with regard to the loan or the bonds or any of them ;
- (b) the release of any part of the property mortgaged by any member to the Trustees upon and subject to any such terms and conditions as are specified in the resolution or provided for under any arrangement or scheme to which the resolution relates ;
- (c) the distribution among the bondholders of any moneys in the hands of the Trustees or held by any person on behalf of the Trustees or for the benefit of the bondholders ;
- (d) the exchange of the bonds or any of them for other bonds of the company or of the members or any of the members ;
- (e) the conversion of the bonds or any of them from bearer form into registered form and the modification of any of the terms and provisions thereof.

(2) An extraordinary resolution and any arrangement or scheme approved and sanctioned or authorised thereby shall be binding upon all the bondholders whether present or represented or not at the meeting at which the resolution is passed and the Trustees shall accordingly give effect thereto and take all necessary steps within their power to cause effect to be given thereto.

(3) The passing of an extraordinary resolution at a special meeting shall be conclusive evidence that the circumstances justified the passing thereof the intention being that it shall rest with the meeting to determine without appeal whether or not the circumstances justify the passing of such resolution.

5. The Trustees may for the purposes of this Act undertake any negotiations become party to any arrangements and take any proceedings with a view to securing the preparation authorisation and carrying out of any arrangement or scheme in connection with the loan or the affairs of the company or the rights and interests of the bondholders or any section of the bondholders. Any expenses incurred by the Trustees in the execution of any of the powers conferred upon them by this section or otherwise in giving effect to the provisions of this Act may be paid by them out of any moneys for the time being in their hands in connection with the loan.

Power for Trustees to negotiate and take proceedings.

6. No action shall be brought by any bondholder or other person against the Trustees in respect of anything done by them in pursuance or in purported pursuance of an extraordinary resolution or of the powers or purposes or provisions of this Act.

Protection for Trustees.

7. Nothing in this Act contained shall be deemed to have waived any default or breach of obligation on the part of the company or the members or any of them that may have taken place.

Act not to be deemed to have waived defaults by company or members.

8. All costs charges and expenses preliminary to and of and incidental to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Trustees out of any moneys in their hands in connection with the loan.

Costs of Act.

SCHEDULE

SPECIAL MEETINGS OF THE BONDHOLDERS

1. Every special meeting shall be held at such place in London as shall be appointed by the Trustees.

2. Notice stating the place and time and the purpose of the meeting shall be mailed by the Trustees postage prepaid not less than thirty days before the meeting to each (if any) registered owner of bonds at his address as such address appears if at all upon the transfer register and shall also be published by the Trustees at least once in two daily newspapers of general circulation published in London England and at least once in a daily newspaper of general circulation published in New York United States of America in Amsterdam Holland in Zurich Switzerland and in Stockholm Sweden and in every other city in which any of the bonds are payable the last of such publications to be made not less than fifteen days before such meeting. Provided however that the mailing of any such notice shall in no case be a condition precedent to the validity of any action taken at the meeting. Any special meeting shall however be valid without notice if the holders of all the bonds are present in person or by proxy or if notice is waived before or after the meeting by those not so present.

3. Attendance by bondholders at any special meeting may be in person or by proxy. Holders of registered bonds (if any) may by instrument in writing under their hands appoint any person as their proxy to vote at any special meeting for them. In order that the holders of bonds payable to bearer and their proxies may attend any special meeting without producing their bonds the Trustees may make and from time to time vary such regulations as they shall think fit for the deposit of bonds with any banks bankers or trust companies and for the issue to the persons depositing the same of certificates entitling the holders thereof to be present and vote at any such meeting and to appoint proxies to represent them and vote for them at any such meeting in the same way as if the persons so present and voting either personally or by proxy were the actual bearers of the bonds in respect of which such certificates shall have been issued and any regulations so made shall be binding and effective. Provided that the bonds so deposited shall be retained by the depositary until after the meeting or meetings at which the certificate so issued in respect thereof shall entitle the depositor to vote.

4. Any registered owner of bonds and any holder of any such certificate as aforesaid shall be entitled in person or by proxy to attend and vote at a special meeting as holder of the bonds registered or certified in the name of such holder without producing such bonds. All others seeking to attend or vote at a special meeting in person or by proxy must produce the bonds claimed to be owned or represented at such meeting and every one seeking to attend or vote in respect of a registered bond shall if required produce such further proof of bond ownership or personal identity as shall be satisfactory to the authorised representative of the Trustees at such meeting.

5. Persons named by the Trustees if represented at a special meeting shall act as chairman and secretary respectively thereof but if the Trustees shall not be represented or shall fail to nominate such persons or if any person so nominated shall not be present the bondholders and proxies present shall by a majority vote irrespective of the amount of their holdings elect persons from those present to fill such vacancy or vacancies.

6. The quorum at any special meeting shall be bondholders present personally or by proxy representing a clear majority of the nominal amount of the bonds. If within fifteen minutes after the time appointed for the meeting a quorum is not present the meeting shall stand adjourned to such place and to such day and time as shall be appointed by the chairman and at such adjourned meeting the bondholders present and entitled to vote whatever their number and the amount of the bonds held by them shall form a quorum and shall have power to pass an extraordinary or other resolution which could properly have been passed and to decide upon all matters which could properly have been disposed of at the meeting from which the adjournment took place. Notice of any adjourned special meeting shall be given in the same manner as of an original special meeting and such notice shall state that the bondholders present at the adjourned meeting will form a quorum.

7. Every question submitted to a special meeting shall be decided in the first instance by a show of hands and in case of an equality of votes the chairman shall both on a show of hands and at a poll have a casting vote in addition to the vote or votes (if any) to which he may be entitled as a bondholder. At any such meeting unless a poll is demanded by the chairman or by any bondholder a declaration by the chairman that a resolution has been carried or carried by a particular majority or lost or not carried by a particular majority shall be conclusive evidence of the fact. If at any such meeting a poll is demanded as aforesaid it shall be taken in such a manner and either at once or after an interval or adjournment or otherwise as the chairman directs and the result of such poll shall be deemed to be the resolution of the meeting at which the poll was demanded. Provided that any poll demanded at any such meeting on the election of the chairman or the secretary or on any question of adjournment shall be taken at the meeting at which such poll is demanded. At every such meeting every bondholder shall on a show of hands be entitled to one vote only but at a poll he shall be entitled to one vote in respect of every ten pounds nominal amount of bonds in respect of which he is entitled to vote.

8. Minutes of all resolutions and proceedings at every special meeting shall be made and duly entered in books to be from time to time provided for that purpose by the Trustees at the expense of the company and any such minutes as aforesaid if purporting to be signed by the chairman of the meeting at which such resolutions were passed or proceedings had shall be conclusive evidence of the matters therein contained and until the contrary is proved every such meeting in respect of the proceedings of which minutes have been made shall be deemed to have been duly convened and held and all resolutions passed or proceedings had thereat shall be deemed to have been duly passed and had.

A true copy of any extraordinary resolution adopted by any such meeting shall be mailed by the Trustees to each registered owner (if any) of bonds (but failure so to mail copies of such resolution shall not affect the validity of such resolution) and shall be published at least once in a daily newspaper of general circulation published in each city where any bonds are payable the first publication in each case to be made not more than fifteen days after the date of the adoption of such resolution.

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